

CHEQUE ISSUER: Mahesh Sheth, owner, Hotel Prem Sagar

VICTIM: Samir Shah, owner, Likehome Caterers

DATE: April 2006

Shah had to close down his Mumbai-based lunch delivery business after a cheque of Rs 2 lakh bounced. The money was part of a security deposit Shah had put down to expand his facilities at Hotel Prem Sagar. When he vacated the premises, Sheth issued a dud cheque. Shah moved the Bombay High Court in 2007, but had to wait two years for the first hearing.

"I refuse cheques for large amounts and only accept those from a reputed company or nationalised bank."

SAMIR SHAH, Owner, Likehome Caterers



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CHEQUE ISSUER: City Limouzines and City Realcom

VICTIMS: Kirti Patel and 2,000 investors

DATE: August 2009

The Mumbai-based vehicle leasing company and its sister concern issued dud cheques worth over Rs 100 crore to investors. The firm had floated five-year schemes, offering 48 per cent returns and the interest payment cheques bounced. The investors have filed a cheating case.

"I will now be more cautious about taking post-dated cheques and will properly investigate a company before investing."

KIRTI PATEL, Investor, who lost Rs 27.8 lakh



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The Law Commission has recommended setting up of fast-track courts with hi-tech facilities in each state. These courts would be based on a scheme introduced in 2000, when 1,735 fast-track courts of sessions judges were set up for long-pending sessions and other cases. By the end of the scheme in 2005, these courts had disposed of 10.66 lakh cases of the 18.46 lakh transferred to them. A November 2008 Law Commission report says: "Unless there is sufficient number of courts for resolving cheque bouncing disputes speedily and efficiently, the problem will continue to be alarming." Says advocate Mohanlal Thacker: "The credibility of the cheque system is being eroded be-

cause of a lack of faith in the law."

This menace is now affecting bottom lines of companies, as cases stay in courts for years. Fullerton India, which set up shop in the country two-and-a-half years ago, has filed about 30,000 criminal cases to the tune of Rs 50 crore, and only a handful of customers have been convicted. It offers small loans with a ticket size of Rs 1 lakh. "Recovery of money from bounced cheques is too slow through the courts and we have to make provisions which burden our bottom line," says Suresh Kulkarni, Fullerton's executive vice-president, operations, legal and collections. The rise in cheque bouncing will see lenders being more cautious when

they hand out loans. "Customers who do not have access to credit and genuinely need it will be deprived because of the bad behaviour of certain borrowers," says Kulkarni.

Lloyd's Finance Ltd, which was under liquidation in 2004, has 1,200 cheque bouncing cases pending across the country since 1998, stacking up to Rs 100 crore. Director Pankaj Desai says the company could have met its liabilities had the money been recovered through the courts. "We failed to pay our creditors about Rs 100 crore so we ended up facing other litigation," says Desai.

Companies are issuing faulty cheques to delay or avoid paying money back to their creditors. Often,

6.4 lakh
in Maharashtra

5.1 lakh
in Delhi

2.3 lakh
in Mumbai

2 lakh
in Gujarat